Buildout: track record and tear sheet

Model book, not personal positions. Data through 2026-11-05. Research only; not investment advice.

1. Backtest (in-sample)

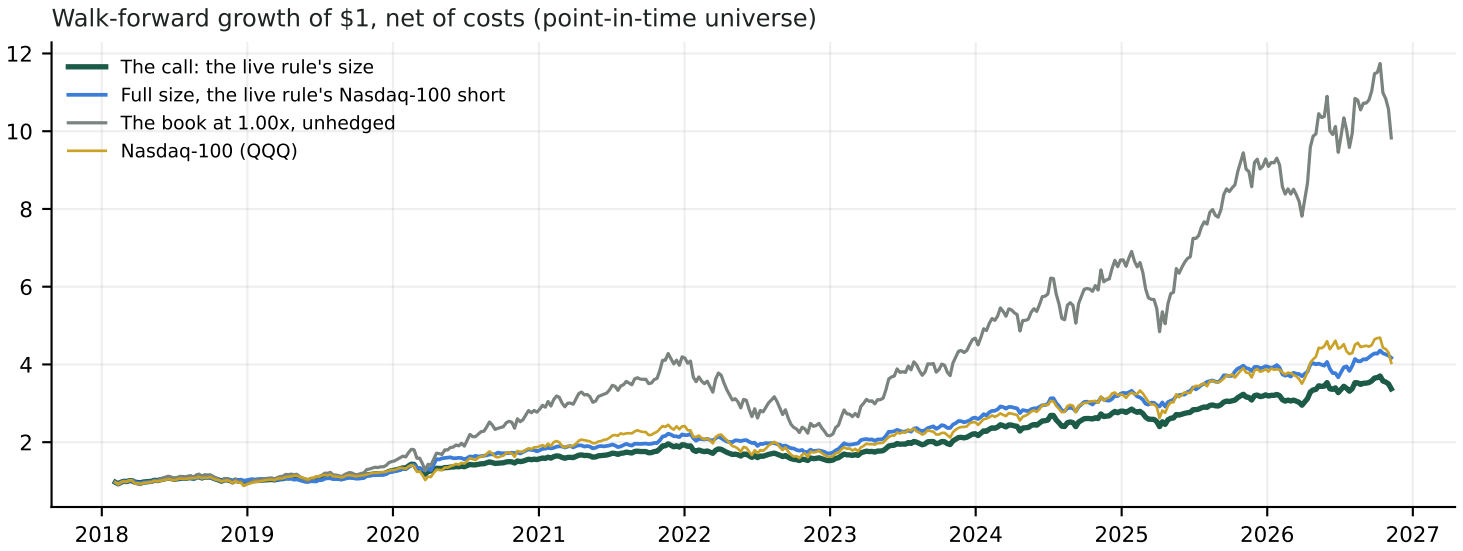
Size 0.53x, chosen with the whole history and applied to it: hindsight on the names and the size. CAGR 18.8%, volatility 16.2%, max drawdown 26.5%.

2. Walk-forward (out-of-sample)

Size and hedge recomputed each month-end from data to that close, held the next month, costs charged; universe chosen point in time each January. 2018-02-01 to 2026-11-05.

3. Live paper

4 call(s) in the hash-chained ledger, the first governing from 2026-11-04; 2 days marked.



Policy	CAGR net	CAGR gross	Vol	Sharpe	Max DD	Up months	Turn-over	Mkt beta	Rates beta	2022
The call (the live rule)	14.9%	14.9%	16.0%	0.77	23.2%	63%	0.5x	0.61	-0.01	-20.7%
Full size, the call's short	17.7%	17.8%	15.6%	0.95	24.9%	63%	0.2x	0.43	-0.02	-21.4%
Simple limits (pre-v0.40)	16.6%	16.7%	15.9%	0.87	20.3%	63%	1.2x	0.58	0.01	-17.7%
Vol target + quarter Kelly + stop	8.6%	8.7%	6.9%	0.84	9.5%	67%	0.9x	0.22	0.00	-3.3%
Full size, 30% long bond	28.6%	28.6%	32.4%	0.85	55.9%	60%	0.2x	1.28	0.30	-52.9%
Holding at 1.00x	29.9%	29.9%	32.5%	0.88	51.4%	61%	0.2x	1.28	-0.00	-48.0%
Nasdaq-100 (QQQ)	17.3%	17.3%	23.9%	0.67	35.1%	62%		1.00		-32.6%

Costs: stocks 5 bp per dollar traded; Nasdaq-100 futures 1 bp a trade plus 1 bp a quarter to roll; borrowing above 1.00x at cash plus 50 bp; the long bond 2 bp a trade. Sharpe is in excess of cash; betas from a daily regression on the Nasdaq-100 and the 20-year bond.

Survivorship: today's nine held with hindsight grew 30.4% a year, the point-in-time nine 29.9% (gap 0.5 points); hindsight flatters risk more than return (worst drawdown 47% against 51%).

The call is sized by the live rule at every month-end (v0.40). It cut the worst drawdown from 51% to 23% at a Sharpe of 0.77 against 0.88 for holding; full size with its short earned 0.95. Vol target with quarter Kelly averaged 0.21x gross: the same bet, smaller.

Monthly returns, walk-forward, net of costs: the call

Year	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
2018		-0.6%	-2.9%	1.5%	5.7%	0.9%	1.5%	5.3%	-0.8%	-8.4%	0.9%	-4.7%
2019	5.2%	1.4%	2.0%	1.5%	-6.6%	5.9%	2.9%	-0.9%	0.3%	6.0%	3.0%	5.3%
2020	5.9%	-1.2%	-2.9%	5.1%	1.6%	1.9%	3.2%	5.2%	-1.8%	-1.0%	5.3%	1.9%
2021	1.2%	1.2%	0.7%	2.6%	-0.7%	3.7%	0.7%	2.9%	-2.9%	6.3%	5.9%	-0.4%
2022	-6.0%	-1.4%	2.0%	-7.5%	0.8%	-5.2%	4.9%	-2.5%	-5.3%	-1.0%	4.0%	-4.8%
2023	7.4%	1.5%	6.2%	0.1%	7.1%	2.9%	3.3%	-0.3%	-1.6%	-1.1%	8.2%	4.8%
2024	1.4%	7.3%	1.0%	-3.9%	3.9%	5.4%	-1.1%	-1.4%	4.0%	-0.7%	3.6%	2.8%
2025	1.6%	-5.5%	-4.5%	1.9%	5.8%	4.1%	3.4%	-0.0%	4.4%	5.8%	-1.1%	0.0%
2026	-0.1%	-4.3%	-1.5%	10.7%	6.0%	-4.9%	0.4%	4.3%	3.0%	-3.5%	-3.7%	

Stocks against 10-year Treasuries by regime, monthly 1962-01 to 2026-09

Regime	Months	Correlation	Variance cut, 30% bond	Variance cut, best weigh	Bond in stock selloffs
All months	776	+0.08	-5%	0%	0.5%
Inflation falling	379	+0.03	-4%	0%	0.7%
Inflation rising	397	+0.10	-5%	0%	0.4%
Inflation above 3%	400	+0.25	-11%	0%	-0.2%
Inflation below 3%	376	-0.17	3%	3%	1.6%
Policy easing	235	-0.12	1%	1%	1.6%
Policy on hold	111	-0.37	8%	13%	2.3%
Policy tightening	157	+0.21	-9%	0%	-0.4%
Inflation rising, policy tightening	100	+0.19	-7%	0%	-0.1%
Inflation rising, policy easing	99	-0.13	1%	2%	3.0%
Inflation rising, policy on hold	51	-0.08	0%	1%	1.4%
Inflation falling, policy tightening	57	+0.26	-13%	0%	-1.4%
Inflation falling, policy easing	136	-0.11	1%	1%	0.7%
Inflation falling, policy on hold	60	-0.56	11%	32%	2.9%
1962 to 1999	456	+0.27	-12%	0%	-0.2%
2000 to 2020	252	-0.33	7%	11%	2.1%
2021 to 2026	68	+0.35	-15%	0%	-1.9%

Inflation direction from CPI against a year earlier; policy direction from the 3-month rate futures (100 less price), a proxy for the Fed.